

Regulation & Compliances

Mutual Fund Distributors

General

- MFD should endure appropriate disclosure in case of conflict of interest
- MFD should have a valid ARN number and follow the KYD norms
- MFD and employees should have a valid EUIN number.
- MFD should ensure no financial incentive to the investors while recommending funds (Commission sharing, gifts, vouchers, etc...)
- MFD shall refrain from unnecessary churning of portfolio to earn higher commission
- MFD shall ensure a risk-profile based recommendation and not indulge in advisory

Transactions

- MFD should do risk profiling of investors to assess suitability of the product.
- MFD should ensure bank account verification and third party check during payments.
- MFD should ensure the Two-Factor Authentication while doing transactions (lumpsum, SIP, STP, SWP, Switch, Redemption) and store the logs for auditing purposes
- MFD shall disclose commission earned and terms & conditions acceptance log
- MFD shall follow the KYC regulations and ensure that they accept investments from KYC compliant investors only

Data confidentiality

- MFD shall not share client data other than for transactions to AMCs, Payment Aggregators and the RTA
- Shall not share data with group companies, if applicable.
- MFD should ensure data is stored within India and follow laws on Personal Data Protection Act (PDPA)

Compliance requirements working with FinTech Primitives

- MFD shall have a valid ARN and their Employees/RMs must have a valid EUIN
- MFD shall disclose SID and T&C
- MFD should ensure risk-profile based recommendations
- MFD should ensure the Two-Factor Authentication while doing transactions (lumpsum, SIP, STP, SWP, Switch, Redemption) and store the logs for auditing purposes
- Shall not share data with group companies, if applicable.

Compliances related to data storage & sharing is taken care by FinTech Primitives

References

1. Code of conduct for intermediaries of Mutual Funds -
<https://www.amfiindia.com/downloads/revised-code-conduct-of-inter-mf>
2. Due diligence process for MFDs -
<https://www.amfiindia.com/Themes/Theme1/downloads/FAQsonDistributorsDueDiligence.pdf>